

A Buyback Is Not a Budget

*The long end fell ten basis points on a Treasury announcement.
What that changes this morning, and what it does not.*

THE READING

The thirty-year Treasury yield fell about ten basis points to 5.18% on Wednesday, three sessions after touching 5.337%, its highest since 2007. The cause was administrative. The Treasury said it would at least double the size of its debt buybacks, from a \$2bn maximum to \$4bn or more, aimed at the ten-to-thirty-year sectors where dealers have described a buyers' strike since late June.

The S&P 500 ended a three-day losing run, up around two tenths of a percent. Semiconductors stayed weak and healthcare did the lifting, with Moderna more than doubling on melanoma trial results. WTI held near \$86 with the Iran talks lapsed. The mood is relief. The evidence for it is that nothing else changed.

WHAT WISDOM WOULD SAY

Walter Bagehot wrote Lombard Street in 1873 about a different emergency, but the distinction survives. His rule was that in a panic the reserve should be lent freely, at a high rate, on good security: a remedy for the scarcity of cash, and explicitly not a remedy for a bad loan. Relieving a shortage of buyers is not the same as improving the thing being bought.

Wednesday was the modern form of that operation. A buyback improves the market for a bond; it does not reduce the stock of them. Federal debt crossed \$40 trillion this month, the July deficit was \$432bn, and interest cost is running near \$1.4 trillion a year. None of that moved because the Treasury offered to repurchase four billion dollars of off-the-run paper. What moved was who stood on the other side of the trade this week.

Bagehot's second point is the one to keep. The willingness to intervene is itself information about the condition. A market that needed the announcement was telling you something before it arrived.

THE RISK IT JUSTIFIES

This is not the morning to buy duration on the view that the long end has turned. Ten basis points bought by a technical announcement is a weaker reason to extend than five bought by a soft inflation print, because the first can be withdrawn and the second cannot. Equally, it is no reason to cut the equity risk that survived Tuesday. The tape has said twice this week that it is rotating rather than liquidating: what is sold is long-duration, what is bought pays cash now.

So the specific thing to refuse today is a fresh long in the long bond. The specific thing to do is nothing. What would change the answer: the thirty-year holding below 5.25% through today's thirty-year TIPS reopening and into next week without further Treasury action, or high yield finally widening, which it has not.

Would you have bought this bond yesterday, at yesterday's price, without the announcement?